JBAV 内部限定資料

NATIONAL ASSEMBLY

Resolution No. /2016/QH14

SOCIALIST REPUBLIC OF VIETNAM

Independence-Freedom-Happiness

RESOLUTION

Regarding specific tax-related strategies to ease help address challenges and concerns, and foster business development

The NATIONAL ASSEMBLY OF THE SOCIALIST REPUBLIC OF VIETNAM

Pursuant to the 2013 Constitution of the Socialist Republic of Vietnam,

Pursuant to the 2014 National Assembly Organization Law,

Pursuant to the Corporate Income Tax Law No. 14/2008/QH12, specific provisions of which were revised by Law No. 32/2013/QH13 and Law No. 71/2014/QH13; and Personal Income Tax Law No. 04/2007/QH12, revised by Law No. 26/2012/QH13 and Law No. 71/2014/QH13,

Following review of the government's Indicative Proposal No. /TTr-CP, dated ……, 2016; Investigative report No. /BC-UBTCNS14, dated … … …, 2016, of the Finance-Budget Committee; inputs from National Assembly members and Explanatory, follow-up and corrective report No. /BC-UBTVQH14, dated … … …, 2016, of the National Assembly Standing Board, on the draft Resolution regarding specific tax-related strategies to help address challenges and concerns, and foster business development,

***Hereby* RESOLVES:**

Article 1. To apply specific policies on corporate income tax and personal income tax as follows:

1. Corporate income tax

1.1. Businesses with total annual revenue of no more than VND20 billion shall be subject to a 17% tax rate from Jan. 1, 2017 to the end of Dec. 31, 2020.

The revenue used as the tax base for the businesses subject to the 17% rate specified in this paragraph shall be that of the immediately previous year.

1.2. Start-up businesses shall be subject to a 17% tax rate from Jan. 1, 2017 to the end of Dec. 31, 2020.

Criteria defining start-up businesses subject to the 17% rate specified in this paragraph shall follow the government's rules.

The 17% tax rate specified in paragraphs 1.1 and 1.2, Article 1 of this Resolution shall not apply to:

a) Earnings from assignment of capital and assignment of equity financing rights; earnings from real property transfer (except social housing facilities referred to in the Corporate Income Tax Law), earnings from transfer of investment projects, earnings from transfer of rights to be a partner in an investment project, and transfer of rights to explore and extract minerals; earnings from production and trade activities outside Vietnam;

b) Earnings from searching, exploring and extracting oil, gas and other rare resources, and earnings from mining activities;

c) Earnings from provision of services that are subject to excise tax under the Excise Tax Law;

d) Other cases as subject to the government's ruling.

1.3. Businesses gaining profit from transfer of real property, transfer of investment projects, and transfer of rights to be partner in an investment project (except transfer of rights to explore and extract minerals) shall be entitled to offset of loss incurred from production and trade activities (except earnings from production and trade activities of businesses that already enjoy corporate income tax breaks) from Jan. 1, 2017 to the end of Dec. 31, 2020.

1.4. Business earnings from engagement in a new investment project providing software services shall be subject to a 10% tax rate in 15 years, tax exemption for 4 years, and a 50% cut of the payable corporate income tax for the next 9 years from Jan. 1, 2017 to the end of Dec. 31, 2020.

1.5. Business earnings from engagement in projects that remodel or rebuild old State-owned apartment buildings having been sold to tenants, in severely damaged conditions, at risks of collapsing, and not safe for users to sell, lease out or lease-purchase under the provisions of the Housing Law, shall be subject to a 10% tax rate from Jan. 1, 2017 to the end of Dec. 31, 2020.

Subject businesses must maintain separate financial accounts of each project that remodels or rebuilds old apartment buildings to provide justification for entitlement to available tax incentives.

The list of projects that remodel or rebuild old State-owned apartment buildings having been sold to tenants shall be prepared by the People's Committees of provinces and central-level cities, and referred to the Prime Minister for review and decision making.

2. Personal income tax

A 50% cut of payable personal income tax for earnings from salary and wage of high-tech individuals working in information technology subsectors in the high-technology sector, application of high technologies in agriculture and agriproduct manufacturing shall apply from Jan. 1, 2017 to the end of Dec. 31, 2020.

Article 2. Waiver of tax arrears

A tax arrears waiver shall be granted to businesses providing goods and services paid for by government funds, or planned to be financed by the government funding but not yet paid by the government.

Article 3. Cancellation and debt relief for tax arrears, late tax payments and fines for taxpayers that have wound up, gone bankrupt or been out of business

1. Cancellation of tax arrears, late tax payments and fines for businesses or organizations that have wound up, gone bankrupt or been out of business prior to Jan. 1, 2014, and debt relief for tax arrears, late tax payments and fines for businesses or organizations that have wound up, gone bankrupt or been out of business between Jan. 1, 2014 and Dec. 31, 2015 shall be granted.

The PC chairperson of provinces and central-level cities shall give decisions on the cancellation and debt relief for these events based on suggestions from the revenue services, after cooperating with the relevant business registration administration agency and

the PC of commune/ward level where the subject business address is registered, to verify that the business or organization in question has in fact ceased to exist, or are no longer at the registered business address, and that due tax arrears collection actions have been done in line with the existing tax administration protocols.

In case the founder of a business, or registered agent of an organization that enjoys debt cancellation or debt relief applies for the establishment of another company or business organization, the relevant business registration regulatory agency shall only grant a business identity number 02 years after the wind-up or bankruptcy date (as verified by the aforesaid interagency body).

2. Cancellation of tax arrears, late tax payments and fines for home-based businesses and business persons that were out of business prior to Jan. 1, 2014, and debt relief for tax arrears, late tax payments and fines for home-based businesses or business persons that were out of business between Jan. 1, 2014 and Dec. 31, 2015 shall be granted.

The PC chairperson of provinces and central-level cities shall give decisions on the cancellation and debt relief for these events based on suggestions from the revenue services, after cooperating with the relevant business registration administration agency and the PC of commune/ward level where the subject business address is registered, to verify that the business or organization in question has in fact ceased to exist, or are no longer at the registered business address, and that due tax arrears collection actions have been done in line with the existing tax administration protocols.

Article 4. Authority to grant cancellation and debt relief for tax arrears, late tax payments and fines

The authority to grant cancellation and debt relief for tax arrears, late tax payments and fines is subject to the provisions of Article 1.22, Amendments to specific provisions of the Tax Administration Law No. 21/2012/QH13.

Article 5. Implementing provisions

1. This Resolution shall be in effect from Jan. 1, 2017 to the end of Dec. 31, 2020. Regulations on cancellation and debt relief of tax arrears, late tax payments and fines, in particular, shall be in effect from the date of approval.

2. The government shall provide details and implementing guides for this Resolution, coordinate rolling out of debt cancellation and relief actions, and report the outcomes to the National Assembly at the 5th meeting session of the National Assembly, Term XIV.

This Resolution is passed by the National Assembly of the Socialist Republic of Vietnam, Term XIV, 2nd session, on the date of … … …, 2016.

NATIONAL ASSEMBLY CHAIR

Nguyen Thi Kim Ngan